Define and Measure Phase

LANDBANK OF THE PHILIPPINES

Marita Grace G. Moog | 2025190207

Strategic Objective

Increase 2025 Net Income of Provident Fund from Loans and Investments by 4%

The PFD's net income is primarily generated from loans and investments.

The key performance metric is the annual net income reported from 2022 to 2024.

A decline in 2023 was largely due to the organization's Early Retirement Program, which reduced Fund reserves and, in turn, limited investment capacity.

Problem Statement

WHAT?	Net income and yield from loans
WHERE?	In the PFD (Provident Fund Department).
WHEN?	2022 to 2024
HOW MUCH?	47% (net income) and 4.36% (yield)
HOW DO YOU KNOW?	Based on the 2022 to 2024 annual reports

S

SPECIFIC

Increase PFD's net income from loans and investments

M

MEASURABLE

at least 4%

A

ACHIEVABLE

Yes, metric and deadline is based on current financial capacity and historical data

R

REALISTIC

Yes, directly tied to Provident Fund's financial sustainability goals.

T

TIME BOUND

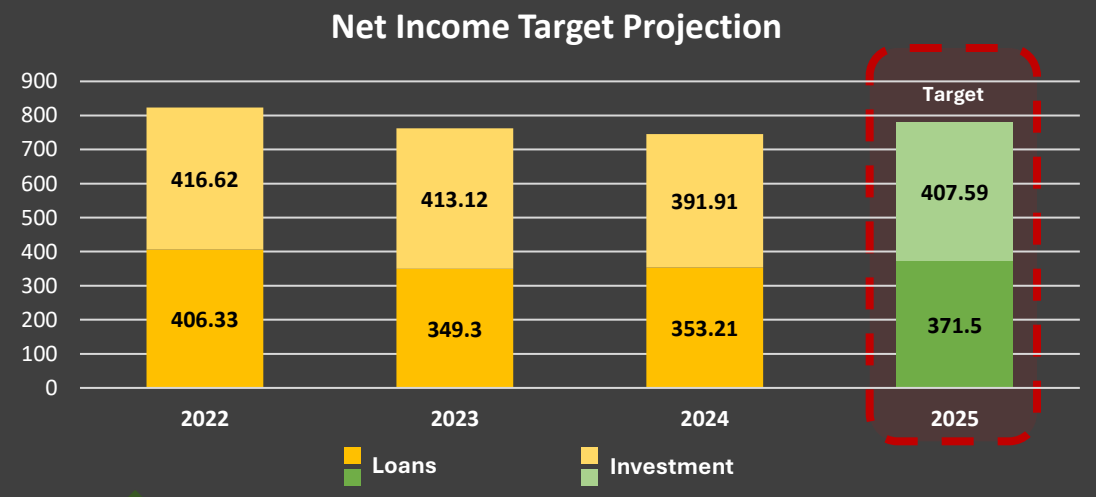
A clear deadline by December 2025

Project Charter

Business Case	The Provident Fund Department (PFD) promotes overall welfare of PF members by providing financial security and stability during work life, and allowing them to retire comfortably. Net Income comes mainly from loans and investments. Despite high loan application volumes, the net income growth from loans is constrained by low interest returns and reduced investment opportunities due to early retirement refunds. Enhancing both loan and investment performance is essential to meet the 2025 net income growth target of +4%.
Problem Statement	In the PFD, the net income and yield from loans, averaging to 47% and 4.36% respectively, are lower compared to investment based on the 2022 to 2024 annual reports.
Goal / Objective	Increase PFD's net income from loans and investments by at least 4% by December 2025 through optimized allocation of funds, revised loan facilities, and stronger investment strategies.
Scope	Loan Facilities (housing, motor vehicle, green technology, etc.); Investment allocation in time deposits, and corporate bonds; and Policy revisions

Primary Metric

**Amount in Millions*



Timeline

Define:	Jan. – Feb. 2025
Measure:	Feb. – Mar. 2025
Analyze:	Apr. – May 2025
Improve:	Jun. – Sept. 2025
Control:	Oct. – Dec. 2025

Financial Savings

Annual Projected Savings:
PHP 300M

Project Team

Lending Unit Head
Accounting Unit Head
Loan Specialists

Project Champion/s

Department Head
Chief of Divisions

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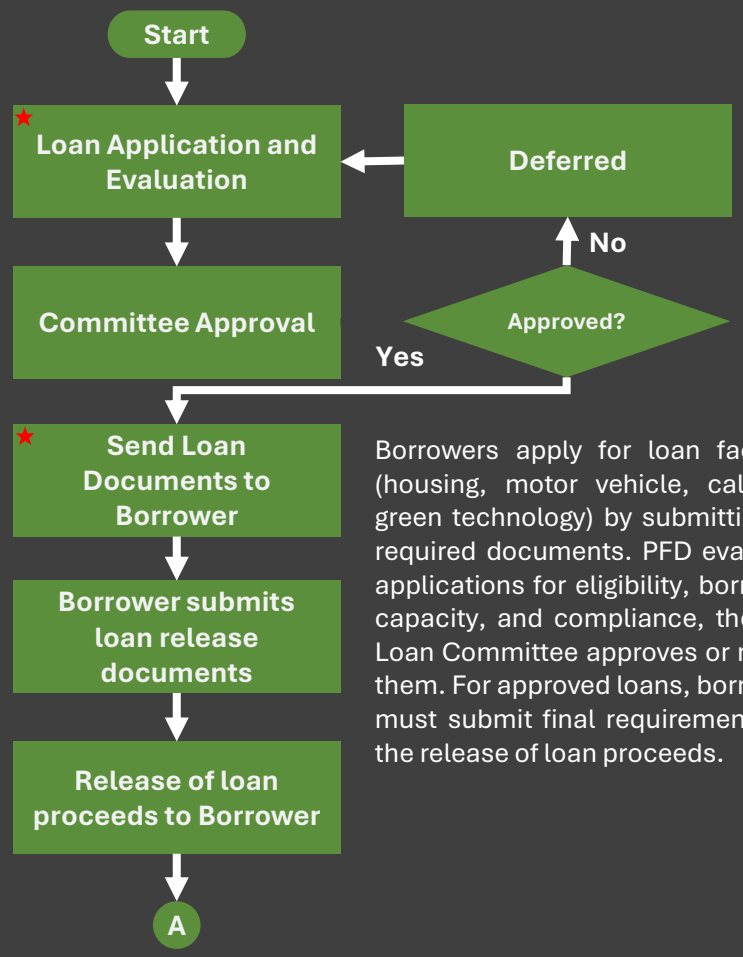
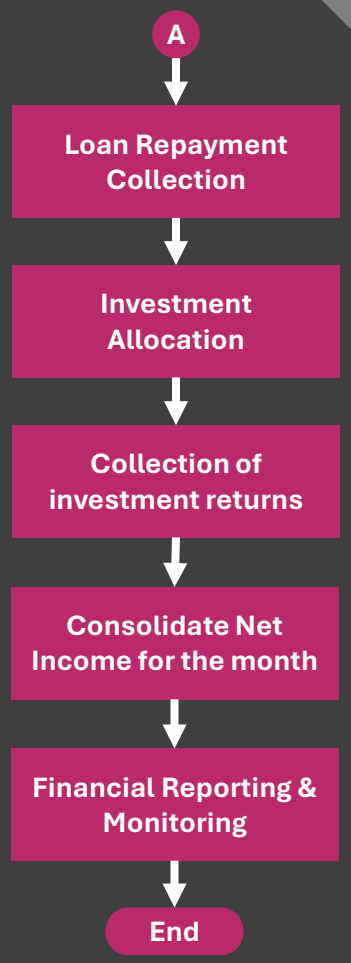
PROCESS FLOW



Borrowers apply for loan facilities (housing, motor vehicle, calamity, green technology) by submitting the required documents. PFD evaluates applications for eligibility, borrowing capacity, and compliance, then the Loan Committee approves or rejects them. For approved loans, borrowers must submit final requirements, for the release of loan proceeds.



Loan payments are collected through salary deductions replenish the Fund's pool, which is then used for new loans or investments. Excess funds are invested in time deposits, corporate bonds, and other instruments that yield 3.5%–5.75%. The PFD consolidates income from loans (low yield, high demand) and investments (higher yield, underfunded) and tracks results against the +4% 2025 net income growth target.

Summary:

- There are 11 process steps for the coverage of the project.
- 9 steps or 81.8% are Value-Added and 2 steps or 18.2% are Non-Value-Added (marked with star)

Recommendation:

Streamline or automate documentation steps (e.g., digital loan agreements, electronic submission) to reduce non-value-added activities, shorten processing time, and improve member experience while maintaining compliance.

Force Field Analysis

Increase PFD net income from loans and investments by **at least 4% by December 2025.**

Driving Forces		Restraining Forces	
High employee demand for loans	5 →	← 5	Loan interest rates too low to yield enough income
High returns available in time deposits and bonds	5 →	← 5	Early retirement refunds draining investable funds
Organizational Target	2 →	← 4	Resource imbalance between loans and investments
Expanded and wide range of loan facilities	2 →	← 3	Conservative investment policies limiting higher returns
	14 vs	17	

Summary:

- The restraining forces slightly outweigh the driving forces (17 vs. 14).
- Key barriers include low loan interest rates, early retirement refunds, and resource imbalance between loans and investments.
- The current environment is not yet favorable for successful implementation and without intervention, the project may struggle to meet its goal

Failure Modes and Effects Analysis

Potential Failure Mode	Effect of Failure	Cause	Current Controls	Severity (S)	Occurrence (O)	Detection (D)	RPN	Recommended Action
Loan interest rates too low	Low income from loans	Outdated loan policies	Policy review (planned)	9	7	4	**252**	Revise loan interest rates based on market benchmarks
Early retirement refunds	Reduced investable funds	High volume of early retirements	Monitoring of fund outflows	8	6	5	**240**	Implement fund retention strategies or staggered refund schemes
Resource imbalance	Underfunded investments	Over-allocation to loans	Annual fund allocation review	7	7	4	**196**	Reallocate 5–10% of loan funds to higher-yield investments
Conservative investment policies	Missed high-yield opportunities	Risk-averse strategy	Investment policy guidelines	5	5	5	**125**	Review and revise investment policies to allow diversified instruments
High employee loan demand	Overextension of loan funds	Member needs and expectations	Loan quotas and eligibility checks	5	7	3	**105**	Maintain balanced loan approval criteria and monitor fund liquidity
Wide range of loan facilities	Complexity in management	Multiple products with low yield	Product performance tracking	4	5	4	**80**	Streamline loan products and phase out low-performing ones

Summary:

- The top 3 highest RPNs pose the **greatest risk** to achieving the net income target, while the low-risk failure modes are less urgent but still relevant for long-term process optimization.
- Loan interest rates and early retirement refunds are the most critical issues.
- Resource allocation between loans and investments needs rebalancing.

Quick Wins

Process	Finding/s	Actions	Why It's a Quick Win?
1. Digitalize Loan Documentation	All loan documents are submitted in hardcopies	Use OneDrive and other organizational cloud platforms for electronic submission and storage	• Simple coordination with IT • Implementation is contained within the unit.
2. Reallocate Excess Funds	Only excess funds from Loans are currently allocated to Investments	Gradually shift 5-10% of loan resources into higher-yield time deposits and corporate bonds	Requires coordination only between the Lending and Accounting Units within the department.
3. Revise Loan Facility Policies	Existing Loan Facilities needs to be reviewed since some products have very small interest rates and low allowable borrowing limit	Study current market interest rates and loan products from other financial institutions and revise policies accordingly	Policy revision and rollout can be done internally without external dependencies

Review of Objective Statement

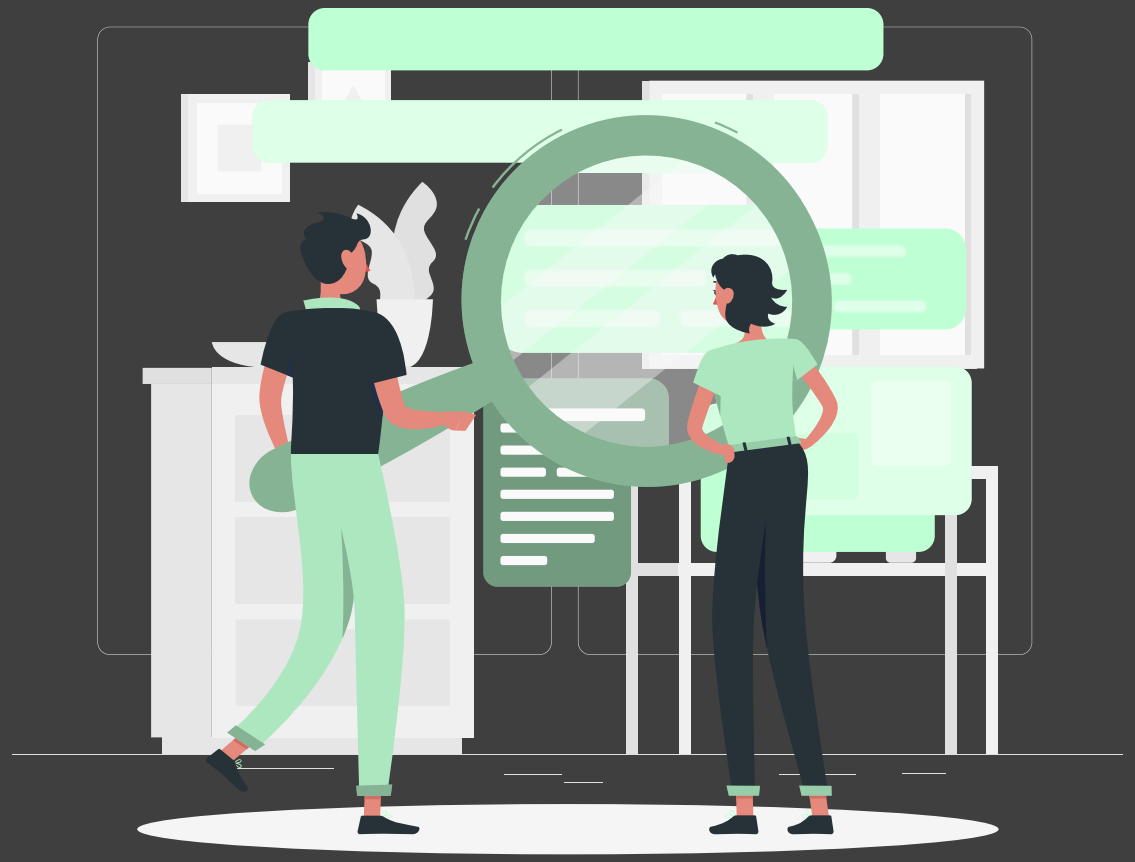
To increase the Provident Fund Department's net income by at least 4% by December 2025 through rebalancing resource allocation between loans and investments, enhancing loan policies (e.g., revised interest rates, quotas, and expanded loanable amounts), mitigating fund leakage from early retirement refunds, and strengthening monitoring and investment strategies, as supported by 2022–2024 financial performance data.

Key Findings

Tools Used:
- Force Field Analysis
- Failure Modes and Effects Analysis (FMEA)

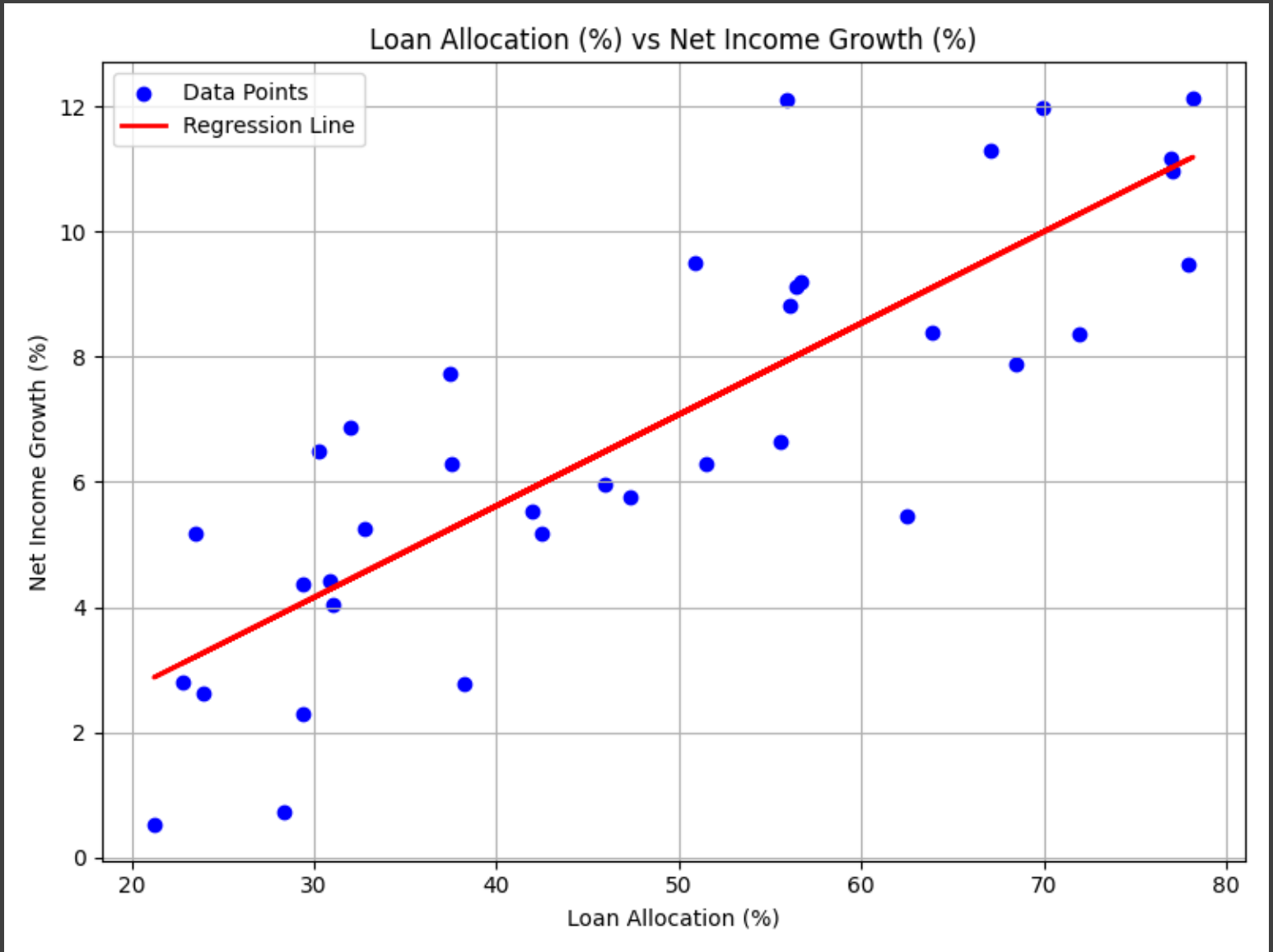
Top Restraining Forces:
- Loan interest rates too low
- Early retirement refunds
- Resource imbalance

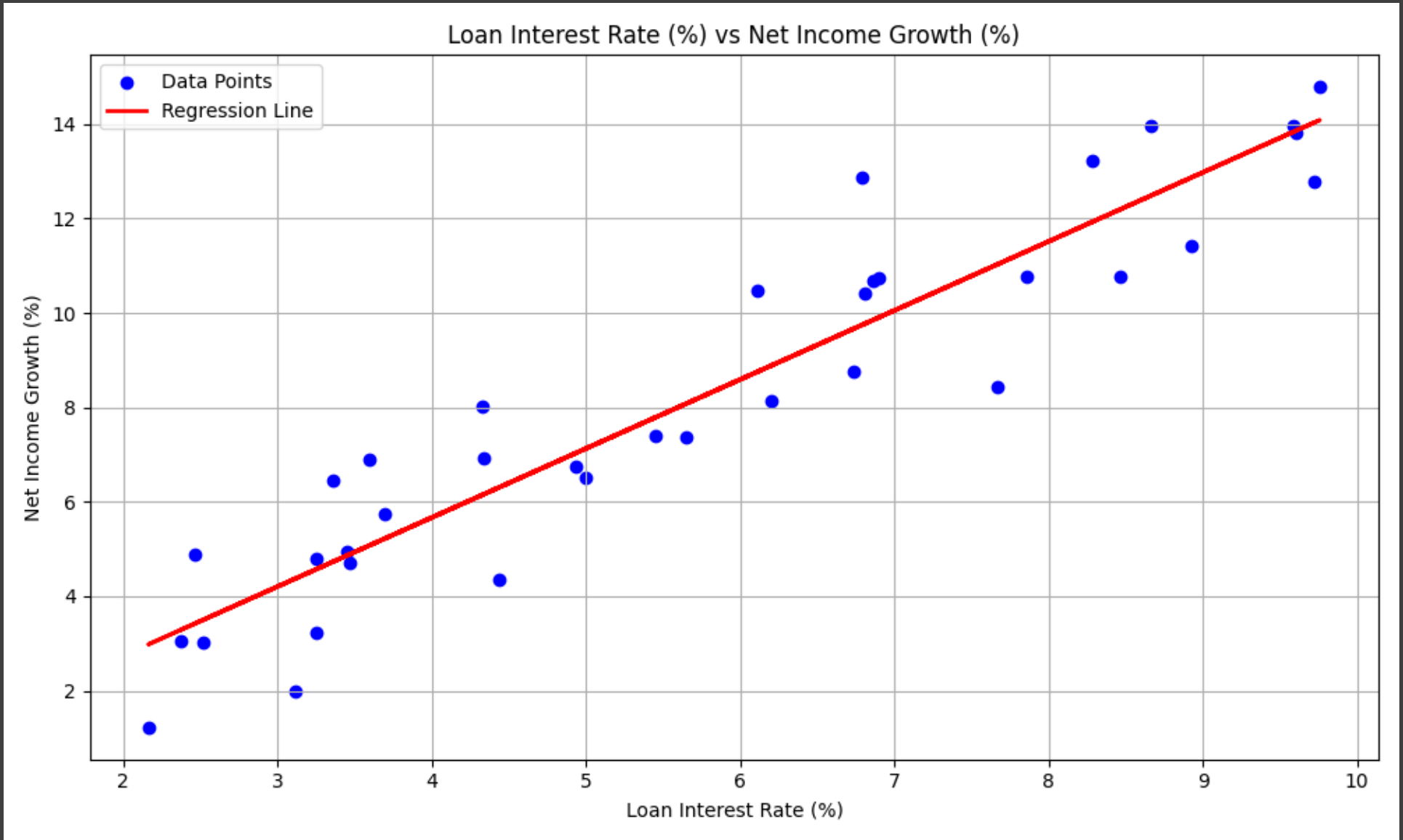
Top Failure Modes (FMEA):
- Loan interest rates too low – RPN 252
- Early retirement refunds – RPN 240
- Resource imbalance – RPN 196



Validation and Results Plan

Y (or mini Y)	Unit of Measure	Y treated as	X	True nature of X	Hypothesis Statement		Graphical Analysis	Statistical Test	Beta	Alpha	Delta	Sample Size	p-value	Decision	Effect on Net Income Growth
					Null Hypothesis	Alternative Hypothesis									
Net Income	Percentage (%)	Continuous	Loan Allocation (%)	Continuous	H_0: Loan allocation % has no effect on Net Income Growth.	H_1: Loan allocation % affects Net Income Growth.	Scatter Plot	Linear Regression	0.2	0.05	28.93	36	0.0003	X is significant	Moderate positive impact
Net Income	Percentage (%)	Continuous	Loan Interest Rate (%)	Continuous	H_0: Changes in loan interest rate have no effect on loan yield / net income.	H_1: Changes in loan interest rate increase loan yield / net income.	Scatter Plot	Linear Regression	0.2	0.05	6.47	36	< 0.0001	X is highly significant	Strong positive impact
Net Income	Percentage (%)	Continuous	Early Retirement Refunds (%)	Continuous	H_0: Early retirement payouts do not affect Net Income Growth.	H_1: Higher early retirement payouts reduce Net Income Growth.	Scatter Plot	Linear Regression	0.2	0.05	11.74	36	< 0.05	X is significant	Reduces Net Income


Loan Allocation (%) vs Net Income Growth (%)
Data Points
Regression Line
Net Income Growth (%)
Loan Allocation (%)
0
2
4
6
8
10
12
20
30
40
50
60
70
80


Loan Interest Rate (%) vs Net Income Growth (%)
Data Points
Regression Line
Net Income Growth (%)
Loan Interest Rate (%)
2
4
6
8
10
12
14
2
3
4
5
6
7
8
9
10

Regression: Early Retirement Refunds vs Net Income Growth
Data Points
Regression Line
Net Income Growth (%)
Early Retirement Refunds (%)
1
2
3
4
5
2
4
6
8
10

Summary

3 of 3 potential critical X's was found to be valid

Findings

- **Investment Allocation:** Conservative policies restricted access to higher-yield opportunities (e.g., bonds, long-term deposits).
- **Loan Yield:** Below market benchmarks, contributing to low profitability despite high application volume.
- **Early Retirement Refunds:** Significant outflow reduced investable reserves.

Root Causes

- Over-allocation to low-yield loans.
- Loan policies misaligned with prevailing interest rates.
- High refund payouts reducing liquidity.
- Conservative investment mix (too much in low-yield deposits).

Critical X's

Just do it

- Digitalize Loan Documentation

Needs Optimization

- **Resource Allocation** – rebalance between loans and investments
- **Early Retirement Refunds** – implement fund retention strategies
- **Loan Interest Rates** – revise based on market benchmarks

Metrics Tracker

Significant changes in net income

- **Resource Allocation**
  - 📉 Decrease in Net Income
  - Refunds reduce investable funds
  - Weakens income-generating capacity.
- **Loan Interest Rates**
  - 📈 Increase in Net Income
  - Higher rates generate more income from loans
  - Supports the +4% growth target.
- **Early Retirement Refunds**
  - 📈 Increase in Net Income
  - More funds in loans boost returns
  - Must be balanced with investment strategies.

***Note:** Above are the critical X's that were found to be valid based on Quick Wins, Force Field Analysis and FMEA

Recommended Action Plan

Cause	Action	Expected Impact	Measure of Success
Over-allocation to Loans	Shift 5–10% of funds into higher-yield investments (corporate bonds, longer-term deposits)	+2–3% increase in investment returns	Higher average portfolio yield
Low Loan Interest Rates	Revise loan policies to align with market rates (gradual increase by 0.5–1%)	Increased loan yield from 4.36% to ~5%	Net income from loans would rise by ~15%
High Early Retirement Refunds	Implement staggered refund schemes or retention strategies	Stabilized reserves and reduced fund outflow	Less volatility in annual net income
Conservative investment policies	Expand into diversified instruments within approved risk levels	Higher total returns with controlled risk	Portfolio risk-return ratio improves

To sustain improvements, the following monitoring and control mechanisms are recommended:

1

KPIs & Dashboards

- Quarterly tracking of loan vs. investment yield.
- Net income growth variance against +4% target.
- Reserve fund stability.

2

Governance

- Monthly review by the Department Head and Chief of Divisions.
- Semi-annual reporting to the Board on progress and compliance.

3

Standardization & Policy Updates

- Update lending guidelines and investment policies.
- Document new procedures for staggered refund schemes.

4

Continuous Improvement

- Annual reassessment of allocation ratios.
- Periodic benchmarking against peer organizations and market rates.

*“By rebalancing fund allocation, aligning loan policies with market benchmarks, stabilizing reserves, and diversifying investments, the PFD can realistically achieve the **+4% net income growth target by December 2025**. Strengthened monitoring and control mechanisms will ensure sustainability of improvements beyond the project timeline..”*